Trends in the Consumption of Confectionery & Biscuits

Exam code: 9BS0

Download PDF

Written by: Lisa Eades
Reviewed by: Steve Vorster
Updated on 21 January 2026

Defining confectionery and biscuits

- Making the distinction between confectionery and biscuits is important for Paper 3 because **consumer behaviour, pricing** and **promotion** can differ between the two markets

Confectionery

- Confectionery refers to **sweet treats that are usually high in sugar**
  - It includes chocolate (such as bars and boxed chocolates) and sugar confectionery (such as sweets, gummies and chewing gum)
- Confectionery is often bought as a treat, gift or impulse purchase rather than a daily essential

Biscuits

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

- Biscuits are **baked cereal-based products** made mainly from flour, sugar and fat
  - They include everyday biscuits (such as digestives and rich tea), indulgent biscuits (such as cookies and chocolate-coated biscuits) and snack biscuits
- Biscuits are more likely than confectionery to be eaten regularly, for example with tea or as a lunchbox snack

Help me understand

Key data

Confectionery market

- The UK confectionery market is worth **around £16–17 billion**
  - Chocolate accounts for the largest share of sales within confectionery
- Despite economic pressure, overall demand has remained relatively stable, showing that confectionery is seen as an affordable treat

Biscuits market

- The UK biscuits market is worth **around £3 billion**
  - Biscuits are one of the most frequently purchased grocery items in the UK
- Growth in biscuits has been supported by innovation, such as premium cookies and twists on classic products
  - Examples include Greggs' giant jammie dodgers and McVitie's salted caramel Club biscuit bars

Growth trends

- Value sales have increased faster than volume sales
  - This suggests that prices are rising and consumers are paying more per item rather than buying much more
- Inflation and higher ingredient costs (such as cocoa and wheat) have pushed up prices

Consumers still buy treats

- Confectionery and biscuits are widely seen as **affordable treats** rather than luxury goods

more likely to reduce spending elsewhere or buy smaller quantities

- This has helped demand for confectionery and biscuits remain **relatively strong**, even during periods of high inflation and falling real incomes
  - For many consumers, a chocolate bar or a packet of biscuits is seen as a low-cost reward that provides comfort or enjoyment

- Industry commentators often describe this behaviour as **treat-led resilience**, where emotional value plays an important role in purchase decisions.

Data and examples

- The UK confectionery market is valued at **around £16–17 billion**, making it one of the largest food and drink categories in the country
  - Chocolate is the leading category and accounts for **over 50% of confectionery sales by value**, showing how central it is to UK consumer habits

- Despite rising prices caused by higher cocoa, energy and labour costs, overall consumption has not fallen sharply
  - This suggests demand is **less price elastic** than for many non-essential goods

- Well-known brands benefit most from this treat culture
  - Brands such as **Cadbury, Mars and Galaxy** retain strong sales across supermarkets, convenience stores and petrol stations
    - These brands are often linked with nostalgia, trust and reliability

  - Familiar branding reduces the perceived risk of purchase, especially when consumers are cautious with money

- This makes it difficult for smaller firms to compete on volume, although independents may still succeed by focusing on premium or niche products

Consumers look for value

- Although consumers are still buying confectionery and biscuits, they are now **much more price conscious** than in previous years
  - Rising living costs mean shoppers are paying closer attention to prices, promotions and pack sizes when making purchase decisions

- Rather than stopping consumption altogether, many consumers are **adjusting their behaviour** to manage spending
  - This includes switching brands, buying smaller packs, shopping in different retailers, or waiting for products to be on promotion

- This trend has become more noticeable during the cost-of-living crisis and has had a clear impact on how

- UK food price inflation peaked at over **19% in 2023**, increasing pressure on household budgets
  - Rising input costs, such as cocoa, sugar, wheat and energy, have pushed up retail prices for confectionery and biscuits
- As a result, consumers are actively seeking **better value for money**

Examples of own-brand confectionery and biscuits

- **Own-label biscuits** have grown as consumers look for cheaper alternatives
  - These products allow retailers to compete strongly on price while maintaining acceptable quality
  - For value-focused shoppers, own-label digestives or chocolate biscuits are seen as close substitutes for branded versions
  - This increases competitive pressure on branded manufacturers, especially in the biscuits market where brand loyalty can be weaker
- **Price-marked packs** are increasingly common in convenience stores and independent retailers
  - These packs clearly show the price on the packaging, helping to reassure consumers that they are not being overcharged
- **Multi-buy promotions**, such as "2 for £1", remain common on chocolate sharing bags and seasonal products
- Some brands have introduced **smaller pack sizes** to keep prices lower
  - This allows consumers to continue buying treats without feeling they are overspending
  - Single bars and smaller biscuit packs appeal to consumers managing budgets or buying for themselves rather than sharing

Some consumers trade up

- At the same time as many consumers look for value, others are **willing to pay more** for higher-quality confectionery and biscuits
  - This behaviour is often described as **trading up**

at both the value end and the premium end
    - Middle-of-the-market products can find it harder to stand out, as consumers either want the cheapest option or something that feels special

Data and examples

- Value sales in confectionery have risen faster than volume sales
    - This suggests consumers are paying more per item rather than buying more
    - This trend can increase **profit margins**, even if unit sales are lower

Examples of premium biscuits sold in the UK

- Premium biscuits and cookies are a growing segment, particularly bakery-style and indulgent products
    - These products often focus on:
        - High-quality ingredients
        - Larger portion sizes
        - New or unusual flavours
    - Consumers may see these as a treat to replace eating out or buying more expensive desserts
- Retailers such as M&S and Waitrose focus heavily on premium chocolate and biscuit ranges
    - These products are often positioned as gifts or sharing treats
    - Premium own-label ranges allow retailers to:
        - Charge higher prices
        - Improve profit margins
        - Build a quality-focused brand image
- Premium products often use:
    - Sophisticated packaging
    - Storytelling about ingredients or production
    - Limited editions or seasonal flavours
- This helps justify higher prices and encourages impulse purchases

Health matters, but treats remain

linked to **high sugar intake**, such as obesity and tooth decay
    - However, this has not led to a major fall in demand

- Instead of avoiding treats completely, most consumers are choosing **moderation**
    - This means eating smaller portions, buying treats less often, or selecting products that feel slightly healthier

Data and examples

- Sugar reduction policies and public health campaigns have raised awareness of sugar intake
    - The UK government introduced the **Soft Drinks Industry Levy**, raising awareness of sugar content across food and drink markets

- Although confectionery is not directly taxed in the same way, consumer expectations around sugar have shifted
    - Portion-controlled packs and individually wrapped biscuits have increased in availability
        - Smaller pack sizes allow consumers to enjoy treats while limiting sugar intake and helps businesses keep prices accessible despite rising costs

    - Products labelled as **lower sugar**, vegan or gluten-free have grown in shelf presence
    - Biscuits made with oats or marketed as lighter snacks appeal to health-conscious consumers

- Demand has grown for **gluten-free, vegan** and dairy-free confectionery and biscuits
    - These products often target consumers with dietary needs or lifestyle preferences
    - While still a small part of the market, they are growing faster than traditional ranges
    - This trend offers opportunities for smaller or specialist businesses to differentiate themselves.

Snacking is important

- Snacking plays a major role in how consumers buy and eat confectionery and biscuits
    - Busy lifestyles, longer commuting times and more flexible working patterns have increased demand for **convenient, portable foods** that can be eaten quickly and easily
    - Confectionery and biscuits fit well into this behaviour because they are **easy to store, carry** and **consume**, often without preparation

- This has helped maintain demand, particularly for individually packaged products.

Data and examples

- Biscuits are among the **most frequently purchased grocery items** in the UK

    - Individually wrapped biscuits and single chocolate bars perform well in travel locations, such as train stations, and petrol stations

- There is increased demand for **single bars, snack packs** and **individually wrapped biscuits**
    - For example, single chocolate bars sold at tills or in meal deals remain popular.
    - These products appeal to:
        - Commuters
        - Students
        - Workers buying snacks between meals
    - Smaller formats also help consumers manage both spending and calorie intake

- Many consumers **regularly snack with tea or coffee**
    - Biscuits, in particular, are linked to daily routines rather than special occasions
    - This makes demand for biscuits more consistent than for some types of confectionery
    - This helps explain why the biscuits market is more stable and less seasonal than confectionery

Brand familiarity and trust

- In the confectionery and biscuits market, **strong, familiar brands perform particularly well**, especially during times of economic uncertainty
    - When consumers are more cautious with their spending, they often prefer to buy products they recognise and trust, rather than experimenting with unknown brands

- Brand trust reduces the **perceived risk** of purchase
    - Shoppers feel more confident that they will enjoy the product and that it offers good value for money, even if it is slightly more expensive than alternatives.

Data and examples

- Well-known brands such as **Cadbury, Galaxy, Mars and McVitie's** consistently rank among the most popular confectionery and biscuit brands in the UK
    - These brands dominate shelf space in major supermarkets and convenience stores
    - Smaller independents often compete by offering niche products or premium positioning

- Chocolate brands, in particular, benefit from strong emotional connections with consumers

Examples of Cadbury's products linked to emotions

- Brands like Cadbury are closely linked to:
  - Childhood memories
  - Gifting occasions
  - Seasonal traditions
- This emotional connection encourages repeat purchases and brand loyalty
- Large brands invest heavily in **advertising**, **promotions** and **in-store displays**
  - This keeps them highly visible and reinforces brand awareness
  - Seasonal marketing campaigns at Easter and Christmas further strengthen their position
  - Smaller businesses often lack the marketing budgets to match this level of exposure
- Consumers often associate established brands with **consistent quality** and **safety**
  - This is particularly important in food markets, where trust in ingredients and production standards matters
  - During periods of change, such as recipe reformulation or price rises, trusted brands are more likely to retain customers
  - This gives large firms a competitive advantage

Teacher only

Test your students on this in just a few clicks

- Create exam-aligned tests
- Tailor format & difficulty
- Quizzes or homework in minutes

Try Test Builder →

Was this revision note helpful? Yes No

© Copyright 2015–2026 Save My Exams Ltd. All Rights Reserved.
Neither IBO nor College Board were involved in the production of, and do not endorse, the resources created by Save My Exams.